

1. Build a customized investment plan aimed at achieving goals and meeting constraints for risk tolerance and risk capacity

- >0% Suitable asset allocation with broadly diversified investments
 - 0.45% Focus on low-cost investments (low expense ratios)
 - 0 – 0.75% Locating assets properly in taxable and tax-advantaged accounts
 - >0% Focusing on total-returns investing instead of income investing
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2. Minimize risks and tax impacts

- 0.35% Rebalancing to the strategic asset allocation
 - 0 – 0.70% Deciding where to draw assets from (tax-deferred or taxable) to meet spending
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3. Behavioral coaching

- > 1.5% Providing support to stay the course in times of market stress
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Overall net impact of good advice: about 3%

Justin Wagner from Vanguard offers the following example for this important point. Suppose the overall market return is 8 percent. Without good financial decision-making, the combined impact of fees, taxes, and poor investment decisions is around 4 percent. This leaves a net return of 4 percent to the investor. However, for investors working with a capable advisor, they eliminate poor investment decisions, minimize taxes, and only pay the 1 percent fee, leaving a net return of 7 percent. These higher net returns can then be translated into an improved retirement lifestyle and a better ability to meet financial goals. That is the Advisor Alpha. The value added by good advice can greatly exceed the fees, which leaves the investor in a much better position even after paying the advisor. It is incorrect to view advisory fees as a zero-sum game that the advisor wins at the expense of the client; both can be winners.

Morningstar's Gamma

David Blanchett and Paul Kaplan at Morningstar created a similar study about the value of good decision-making. Their results and approach are different from those of Vanguard, but the goal is the same: to quantify the